

Unemployment

The meaning of unemployment: Unemployment can be expressed either as a number or as a percentage. The most usual definition that economists use for the number unemployed is those between the ages 18 and 60 who are without work, but who are available for work at current wage rate. If the figure is to be expressed as a percentage then it is the percentage of the total labor force. The labor force is defined as those in employment plus those unemployed. Thus, if 22.5m people are employed and 2.5m people were unemployed, the unemployment rate would be

$$\begin{aligned}\text{Unemployment rate} &= (\text{Registered unemployed} / \text{labor force}) \times 100 \\ &= \{2.5 / (22.5 + 2.5)\} \times 100 = 10\%\end{aligned}$$

Types of unemployment

1. **Frictional unemployment:** this occurs when people leave their jobs either voluntarily or because they are sacked or made redundant and are unemployed for a period of time while they are looking for a new job. They may not get the first job they apply for, despite a vacancy existing. The employer may continue searching, hoping to find a better qualified person. Likewise unemployed people may choose not to take the first job they are offered. Instead they may continue searching, hoping that a better one will turn up.

The problem is that information is imperfect. Employers are not fully informed about what labor is available; workers are not informed about what jobs are available. Employers therefore, have to search for the right labor and workers searching for the right jobs.

One obvious remedy for frictional unemployment is to provide better job information. This could be provided by government job centers, by private employment agencies or by local and national newspapers. Another much more controversial remedy is for the government to reduce the level of unemployment benefits. This will make the unemployed more desperate to get a job and thus prepared to accept a lower wage.

2. **Structural unemployment:** It is where the structure of the industry changes. Employment in some industries may expand while in others it contracts. There are two main reasons for this:
 - A change in the pattern of demand: some industries experience declining demand. This may be due to change in consumer tastes. Certain goods go out of fashion. Or it may be due to competition from other industries. For

Unemployment

example, consumer demand may shift away from coal to other fuels. This will lead to structural unemployment in mining areas.

- A change in the method of production (technological unemployment): new techniques of production often allow the same level of output to be produced with fewer workers. This is known as labor saving technical progress. Unless output expands sufficiently to absorb the surplus labor, people will be made redundant. This creates technological unemployment.

Structural unemployment often occurs in particular regions of the country. When it does, it is referred to as regional unemployment. It is due to the concentration of particular industries in particular areas. There are two broad approaches to tackle structural unemployment i.e. market oriented and interventionist. A market oriented approach involves encouraging people to look more actively for jobs, if necessary in other parts of the country. It involves encouraging people to adopt a more willing attitude towards retraining and if necessary to accept some reduction in wages. An interventionist approach involves direct government action to provide jobs to the unemployed. Two examples are providing grants to firms to set up in areas of high unemployment (regional policy) and government funded training schemes.

3. **Seasonal unemployment:** It occurs when demand for certain type of labor fluctuates with the seasons of the year. This problem is particular in holiday/tourism industries or areas where unemployment can reach very high in winter months.
4. **Demand deficient or cyclical unemployment:** This type of unemployment is associated with economy in recession. As the economy moves into recession, consumer demand falls. Firms find that they are unable to sell their current level of output. For a time they may be prepared to build up stock of unsold goods, but sooner or later they will start to cut back on production and cut back on the amount of labor they employ. The deeper the recession becomes and the longer it lasts, the higher the demand deficient unemployment becomes. As the economy recovers and begins to grow again the demand deficient unemployment starts to fall again. Because demand deficient unemployment fluctuates with the business cycles, it is sometimes referred to as cyclical unemployment.

The non-accelerating inflation rate of unemployment (NAIRU)/Natural rate of unemployment: It is the rate of unemployment which is consistent with a given rate of inflation i.e. it does not affect the level of inflation. It is the sum of frictional, structural

Unemployment

and seasonal unemployment which makes about 1 to 3% of the total labor force. This type of unemployment always exists in every economy and nothing much can be done to reduce this type of unemployment.

NAIRU is the rate of unemployment which exists when the economy is producing its potential output i.e. where the economy is operating at full employment and there is no cyclical unemployment. At this level of unemployment the demand for labor is equal to the supply of labor at the existing real wage rate. Even when there is no general disequilibrium in the economy at the current wage levels - even when there are as many job vacancies as people unemployed - there will still be some unemployment. For various reasons, not all vacancies will be filled. The problem is one of mismatching. There may be excess demand for labor (vacancies) in some markets and excess supply (unemployment) in others. There may be vacancies for computer technicians and unemployment in the steel industry, but unemployed steel workers cannot immediately become computer technicians. There may even be vacancies and unemployment in the same market, but the unemployed may be unable, unwilling or unsuitable to take up the vacancies or simply unaware of their existence.

Costs of unemployment: The most obvious cost of unemployment is to the unemployed themselves. There is the direct financial cost of the loss in their earnings measured as the difference between their previous wage and unemployment benefit. Then there are personal costs of being unemployed.

Then there are costs to the family and friends of the unemployed. Personal relations become strained and there may be an increase in domestic violence and the number of families splitting up. Then there are broader costs to the economy; unemployment represents a loss of output. In other words actual output will be less than potential output. Apart from the lack of income to the unemployed themselves, this underutilization of resources leads to lower income for other people too:

- The government loses tax revenues, since the unemployed pay no income tax and given that the unemployed spend less, they pay less indirect tax (sales tax). The government also incurs administrative costs associated with the running of benefits offices. It may also have to spend extra on health care, the social services and the police.
- Firms lose the profits that could have been made, had there been full employment
- Other workers lose any additional wages they could have earned from higher national output.

Unemployment

- The longer people remain unemployed, the more de-skilled they tend to become, thereby reducing potential as well as actual income.
- Finally, there is some evidence that higher unemployment leads to increased crime and vandalism. This obviously imposes a cost on the sufferers.

Benefits

The costs of unemployment may sometimes be offset by the benefits of unemployment. If the workers voluntarily quit their jobs to look for a better one, then they must realize that benefits of a better job more than compensate their temporary loss of income. From the nation's point of view, a workforce that is prepared to quit jobs and spend a short time unemployed will be a more adaptable, more mobile workforce that is responsive to changing economic circumstances. Such a workforce will lead to a greater allocative efficiency in the short run and more rapid economic growth in the long run.

Changes in the patterns of employment

Over time, the pattern of employment in a country is likely to change. There can be alterations in the sectors in which people work, the hours they work for, who they work for and the type of work they do.

Industrial structure

As economies develop, employment moves from the primary to the secondary and then to the tertiary sector. In the Netherlands in 2017, for instance, most workers (82%) were employed in the tertiary sector, whereas in Vietnam, the highest proportion of workers (48%) were employed in the primary sector.

Within any country at any particular time, some industries will be expanding and some will be contracting. For instance, in India, employment in textiles is declining, whilst it is increasing in ICT and software. This change requires workers to be occupationally and geographically mobile.

Proportion of women in employment

The number and proportion of women in employment and in the labour force is increasing in most countries. This trend is occurring because social attitudes to women working is changing. Gender discrimination is declining, opening up job opportunities for women and raising their wages.

Proportion of workers in the private and public sectors

Unemployment

The proportion of workers employed in the public sector in a number of countries is declining while the proportion employed in the private sector is increasing. This is because the countries are moving closer to market economies. In Australia in 2000, 21% of workers were employed in the public sector, while 79% were employed in the private sector. By 2016 the proportions had changed to 15% in the public sector and 85% in the private sector.

Full-time and part-time work

Most workers work full-time. Some, however, work part-time. Some opt to work part-time, as it may fit in with their children's school hours, enable them to look after elderly relatives or pursue other interests. Other people are forced to work part-time because they are not able to find full-time jobs.

Employed and self-employed

In some countries, including the UK, USA and most of Europe, most people work for someone else, that is they are employees. The number of self-employed workers is, however, rising. In other countries, including India and Pakistan, a high proportion of people are already self-employed and many of them work in the informal economy.

Informal and formal economies

People who work in the informal economy do not have the same access to the social security benefits, employment protection and rights as workers in the formal economy. For instance, whilst a country may operate a minimum wage, workers in the informal economy may be paid below it and they are very unlikely to receive a pension.

The informal economy does not include unions and so the workers cannot bargain collectively to improve their conditions. Some of those working in the informal economy are self-employed, some are migratory workers and some are casual workers. They tend to have lower productivity, lower levels of training and lower wages than workers in the formal economy. So a growth in the formal economy tends to raise the quality of employment and labour productivity.

High and low quality employment

High quality employment is skilled work which is interesting and which provides workers with the opportunity to progress, access to training, good working conditions and a relatively high degree of job security. In contrast, low quality employment is unskilled

Unemployment

work, which often does not require or provide training, and does not provide good working conditions. As an economy develops the proportion of high quality jobs tends to increase.

Flexible employment

Global competition is putting pressure on firms to ensure that their labour force is flexible. A flexible labour force is one which adjusts quickly and smoothly to changes in market conditions. This flexibility can take a number of different forms.

One is in terms of the number of workers employed. The easier it is to hire and fire workers, the more able firms are in adjusting their output in line with consumer demand. Such flexibility, which can be called numerical flexibility, can increase workers' sense of job insecurity, but it can also raise employment. This is because firms may be more willing to take on more workers when demand for their products rises if they know they can let them go, should demand fall.

Other forms of flexibility are temporal flexibility (the ability to change the number of hours people work), locational flexibility (the ability to change the location where workers work), functional flexibility (the ability to change the tasks workers perform) and wage flexibility (the ability to raise or lower wages).

Changes in the levels of employment

A rise in employment may reduce unemployment if it is the unemployed who fill at least some of the extra jobs. It is, however, possible that both employment and unemployment increase. This will occur if the labour force grows faster than the number of jobs available. It is also possible for unemployment to fall without an increase in employment. This is because, finding a job is not the only reason why people stop being unemployed. Some unemployed people may reach retirement age, some may go into full-time education, and some may emigrate, while some may just stop searching for work.

The labour force participation rate

The labour force may grow as a result of an increase in the population of working age, a rise in the labour force participation rate or a combination of the two. The working age population may increase due to a rise in the birth rate, a fall in the death rate or net immigration.

The labour force participation rate is the proportion of people who are of working age and belong to the labour force. In other words, it is those who are economically active and

Unemployment

form the labour force. Some of those of working age are not in the labour force, they are economically inactive. This group includes those who have retired early, those in higher education, homemakers and the long-term sick.

Among the factors that influence the labour market participation rate are:

- The wages on offer. High wages will encourage more people to seek work and will persuade some to stay in the labour force, past the usual retirement age.
- Social attitudes to working women. In countries where it is acceptable for women to work, there will be a larger labour force and a greater participation rate.
- Provision for the care of children and the elderly. The greater the availability of nursery places and retirement homes, the higher is the labour participation rate.
- Social attitudes and provision for the disabled to work. The greater the number of people willing to accept disabled people working and the easier it is made for the disabled to work, for instance having ramps installed for wheelchair access, the more potential workers there will be.
- The proportion of school leavers who go into higher education. The more people there are in full-time education, the lower the participation rate. Although it reduces the size of the labour force, a high proportion of people in full-time education raises the quality of the labour force.

The measures of unemployment

Unemployment has costs both for the unemployed, for firms and for the economy. These costs are influenced by the extent of the unemployment, the duration of the unemployment and the cause of the unemployment.

The two major ways of measuring unemployment are to:

- count those in receipt of unemployment-related benefits and
- Carry out labour force surveys.

The first method is known as the claimant count. This method has the advantage of being relatively cheap and quick, as the information is gathered anyway by the government to know the amount paid out in benefit and its recipients. Its disadvantage, however, is that it tends to understate unemployment. Whilst some people who are actually working fraudulently claim benefits, their number is less than those who are actively seeking employment, but not receiving unemployment benefits. People on government training schemes, those staying on at school and some who have been forced to retire early, may actually be searching for employment, but they won't be receiving unemployment benefits.

Unemployment

The second method is the Labour Force Survey Measure which is also sometimes called the ILO measure as it makes use of the International Labour Organization's definition of unemployment. This involves conducting regular surveys of a proportion of households which ask adults about their employment status. It counts people as unemployed if they are without a job and have been actively searching for employment in the past month. This method has the advantage that it can be used to make international comparisons. It also tends to identify the unemployed population more accurately.

The accuracy, though, depends on how the questions are asked and interpreted, and whether the sample selected is representative of the labour force as a whole. This method also takes longer to gather the information than a claimant count. In addition, the information has to be examined carefully. For instance, it counts people as employed if they do any work, even just an hour's work. This means that a country may have a relatively low unemployment rate but a relatively high underemployment rate. This means that a relatively high proportion of workers may be working fewer hours than they wish or may, in some cases, be in jobs that do not make full use of their skills.